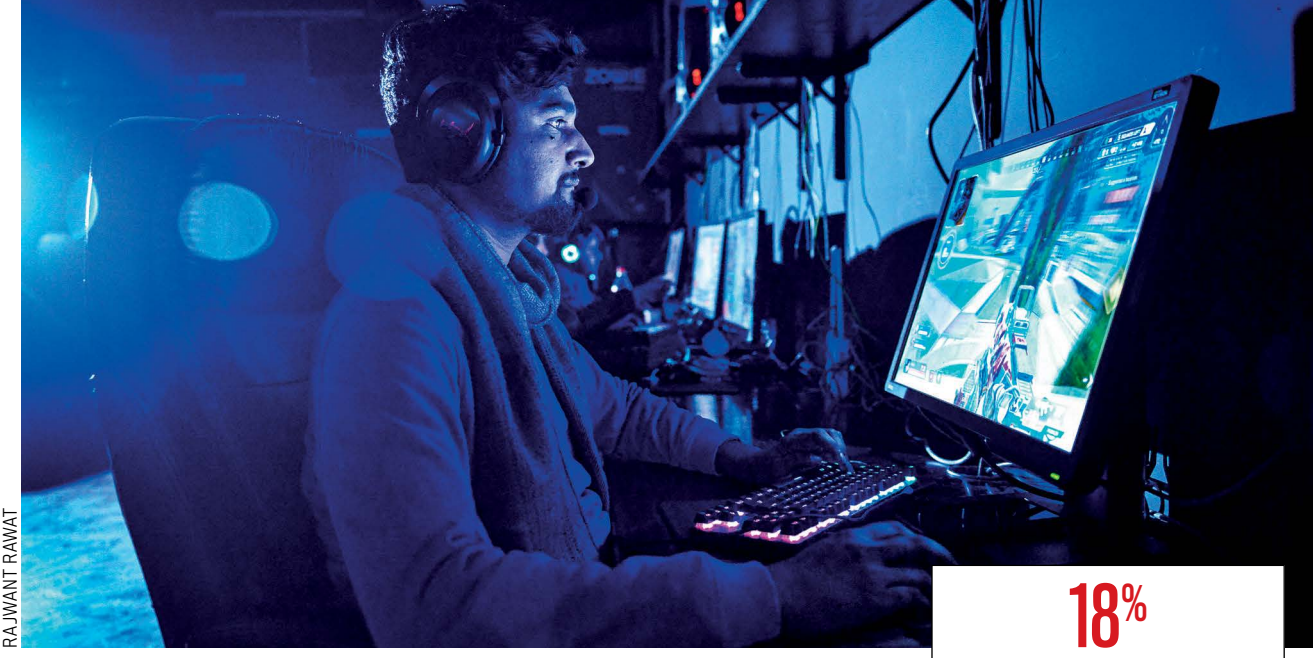


RAJWANT RAWAT

ONLINE GAMING

(UN)FAIR PLAY?

By M.G. Arun

The latest round of revision in the Goods and Services Tax (GST) has dealt a body blow to online gaming companies. At the 50th meeting of the GST Council held on July 11, it was decided that online gaming, horse racing and casinos would attract a uniform GST of 28 per cent on the full face value of the placed bets. Moreover, despite many representations by the sector, the Council also refrained from making any distinction between skill-based and chance-based online games, thus taxing them equally. The move has sparked sharp protests from the sector.

Till now, the GST charged for online gaming was fixed at 18 per cent of the gross gaming revenue (GGR) of gaming companies. Now, under the revised norms, a 28 per cent tax will be charged on the entry fee, which tends to be comparatively quite high in gaming. In a nutshell, this means gaming firms will now end up paying a steeper GST. To take an example, assume the entry fee that everyone has to pay to participate in a game is Rs 100, and the GGR—the difference between the amount placed by participants as a bet and the amount actually won by them—is Rs 20. Earlier, under the 18 per cent GST on GGR, the tax amount translated to Rs 3.60. With the new revision, gaming companies will need to pay a 28 per cent tax on the entry fee, which, in this case, will mean a GST of Rs 28. This hike will have to be passed on to gamers, who are already burdened with the 30 per cent tax deduction at source on net winnings from games.

While the Centre's argument for the tax hike is that the online gaming industry is currently paying only 2-3 per cent GST, less than even the 5 per cent tax applicable on food items consumed by citizens, industry leaders have termed the move regressive. Online gaming companies saw their shares tumbling soon after the GST revision. The shares of Delta Corp, a casino operator that also has online operations, crashed 23 per cent on July 12, while those of Nazara Technologies, a digital gaming and sports firm, plunged over 14 per cent. "The GST Council's decision to levy a 28 per cent GST on online games without distinguishing between games of skill and chance poses a severe threat to the growth and sustainability of the online gaming industry in India," Kick Games Studios said in a statement. "These regressive measures disregard years of established legal precedents and unjustly associate online gaming with gambling activities and will have a negative impact on the growth of the real-money gaming segment, which accounted for 77 per cent of India's gaming sector revenues in 2022," it added.

18%
GST LEVIED ON ONLINE GAMING TILL NOW, CHARGED ON GROSS GAMING REVENUE

28%
THE GST TO BE CHARGED UNDER THE REVISED NORMS ON ENTRY FEE

₹11,900 crore
REVENUE OF THE ONLINE GAMING SEGMENT IN INDIA IN 2022

₹15,300 crore
EXPECTED REVENUE OF THE ONLINE GAMING SEGMENT BY 2024

400 million
NO. OF GAMERS IN INDIA, PER INDUSTRY ESTIMATES